

WEEK 3:

Product vs services

- Product – tangible
- Services – no ownership of the physical elements involved.
- Services → IHIP:
 - I – Intangible
 - H – Heterogeneous
 - I – Inseparable
 - P – Perishable

B2C vs B2B

- B2C: Business to customer
- B2B: Business to business

	B2C	B2B
End customer	individual	business
Number of customers	high	Less and geographically located
Supply chain	larger	Shorter
Purchase duration	Shorter	Longer (3 months – 1yr)
Purchase value	Less	High (millions to billions in currency)
Relationship	Transactional	Collaborative
Price elastic	Yes	No (inelastic)
Ads and promotions	High	Low
Agreements and contracts	Lower	Higher
Decisions maker	Individuals	DMU (decision making unit)

B2B process steps – Buying behaviour:

1. Problem recognition – no impulse buying.

Customer firms buy under 2 conditions:

- When there is a problem.
 - When there is a need.
2. General description of the needs – list of what company needs
 3. Product specification – based on needs
 4. Supplier search – based on market research identify and choose vendor(s)
 5. Analysis and acquisition of proposals – DMU analyses proposals given by suppliers

- **RFI (Request for Information):** Used early in the buying process to gather general information about suppliers and possible solutions.
- **RFQ (Request for Quotation):** Used when the buyer has clear specifications and asks selected vendors to submit price quotations and proposals.

6. Supplier selection – based on analysis supplier selected
7. Selection of order routine
8. Post usage performance review

B2C – only step which is same as B2B is step 8: post usage performance review.

	Straight rebuy	Modified rebuy	New task
Products done for	Inexpensive /bought frequently	Some modifications need to be done in the	Expensive/bought for the first time
Number of steps to be done	Don't have to do all 8 steps		All 8 steps need to be done

A **straight rebuy** is a routine purchase where a buyer repeatedly purchases the same product from the same supplier with little or no modification). It is characterized by frequent, regular purchasing.

Straight rebuy is **primarily a B2B (business-to-business) buying situation**. It describes an organization repeatedly.

In the **B2B buying process**, all **8 stages of the buying process (buy phases)** are typically followed only in a **new task situation**, because the organization is purchasing the product or service for the first time and must go through every step.

In a **straight rebuy**, many of the steps are skipped because it is a routine purchase.

Of the four vendors identified by the purchase department, the internal department started rating for a vendor named "Turn AB", based on 4 CSF/KSFs- Pricing, Brand Image, Service Quality and Market reputation. Given that ABC software technologies were relatively new, they were highly price sensitive. They allocated the next higher weightage to service quality. Allocate the weights as per this information. The weights decided were- 10%, 30%, 10% and 50%. They then gave a score of (1-5) where 1 was least and 5 was highest. The highest weightage was allocated a score of 5, the next highest a score of 4 and the remaining 2 KSFs were given a score of 1 each. What was the final rating of "Turn AB"?

CSF/KSF	Weight	Score
Pricing (highest priority)	50%	5
Service Quality (next highest)	30%	4
Brand Image	10%	1
Market Reputation	10%	1

Calculate the weighted rating:

- Pricing: $0.50 \times 5 = 2.50$
- Service Quality: $0.30 \times 4 = 1.20$
- Brand Image: $0.10 \times 1 = 0.10$
- Market Reputation: $0.10 \times 1 = 0.10$

Final rating = $2.50 + 1.20 + 0.10 + 0.10 = 3.90$

Answer: 3.9 (out of 5) (equivalently, 390 out of 500, or 78%).

Jilting refers to a customer abandoning a company or brand and switching to a competitor. It is **most common in Business-to-Consumer (B2C) markets**, where switching between brands is relatively easy. However, it can also occur in **Business-to-Business (B2B) markets**, although less frequently because of long-term contracts and stronger business relationships.